India. The TAG has conducted a pilot study for Delhi in which both the models of index-making were used.[68] They were -

(i) hedonic regression model, and

(ii) the basic Laspeyre's weighted index.

It is well-known that the registered price of houses are grossly under-estimated due to very high registration fees and stamp duty. The subsequent obligations for the payment of property tax acts as a dis-incentive to individual purchases (except the corporate bodies) for revealing the exact purchase price of a house. That is why, in addition to information from registration offices, basic data on value, plinth area, location, age and basic characteristics of the houses were collected from property dealers, Resident's welfare Associations (RWAs), Development Authorities/Municipal Corporations and the private builders.

The TAG decided to take 2001 as the ***base year*** for the index which is consistent with the base period of the other indices i.e. 2001 for the revised CPI (IW), 2000–01 for the revised WPI and 1999–2000 for the revised GDP series.

With an overall objective of bringing transparency in the Indian real estate market, the index is expected to serve some highly important and timely purposes:

(a) Whether a broker is quoting too high a price for houses in the cities.

(b) Banks/housing finance bodies will be able to estimate only if the loan applications are realistic for the properties.

(c) This will also show the level of non-performing assets in the housing sector.

(d) And most importantly it will serve as a realistic price index for the buyers. (At present a buyer has no means, to judge whether a rise in property price was in the offing with the general level of inflation (i.e. at WPI) in the country, or has been scaled up disproportionately. Other than quotes from brokers, there are no means at present to evaluate the changes in price in this sector. At present the only index that gave some idea of housing price changes was the CPI (IW) which being a national index did not show the ***regional variations***.)